

EGERTON



UNIVERSITY

UNIVERSITY EXAMINATIONS

NJORO CAMPUS

SECOND SEMESTER, 2022/2023 ACADEMIC YEAR

**FIRST YEAR EXAMINATION FOR THE DEGREE OF BACHELOR OF SCIENCE IN
ECONOMICS AND STATISTICS AND BACHELOR OF ARTS**

ECON 121- PRINCIPLES OF MACROECONOMICS

STREAM: BSC. ECON/STAT & BA

TIME: 2 HRS

EXAMINATION SESSION: APRIL

YEAR: 2023

INSTRUCTIONS

- i). Answer Question ONE and ANY OTHER TWO questions.
- ii). Question ONE carries 30 Marks and the rest 20 Marks each.
- iii). Do NOT write on the question paper.
- iv). Apart from calculators, all other devices and written materials are not allowed in the examination room.
- v). All personal items MUST be left outside, or in front of the examination room.

QUESTION ONE**(30 MARKS)**

- a) Explain the following approaches of calculating national income:
- i) Output approach. **(1 Mark)**
 - ii) Income approach. **(1 Mark)**
 - iii) Expenditure approach. **(1 Mark)**
- b) Explain the uses of national income statistics. **(5 Marks)**
- c) Outline any the challenges encountered in the computation of national income. **(5 Marks)**
- d) Explain the determinants of consumption. **(5 Marks)**
- e) i. Define the term investment. **(2 Marks)**
- ii. Outline five factors that influence investment in an economy. **(5 Marks)**
- f) The following information is the GNP account of a hypothetical country:

Gross National Product	1500
Gross Investment	200
Net Investment	60
Consumption	1000
Government spending on goods and services	300
National Income	1200
Wages and salaries	900
Proprietors income and rental income of persons	110
Net interest	60
Government budget surplus	-20

Personal interest payment	0
Undistributed corporate profits	-20
Valuation adjustments	-20
Business transfer payments	0
Personal transfers to foreigners	0

From the above data what is:

- a) Capital consumption allowance. **(1 Mark)**
- b) Net National Product. **(1 Mark)**
- c) Indirect taxes. **(1 Mark)**
- d) Disposable income. **(1 Mark)**
- e) Net exports. **(1 Mark)**

QUESTION TWO

(20 MARKS)

Given the hypothetical macroeconomic model of an economy below:

$$S = -50 + 0.2Y^d \quad (\text{saving function}) \text{ where } Y^d \text{ is disposable income}$$

$$I = 100 \quad (\text{investment expenditure})$$

$$G = 100 \quad (\text{Government expenditure})$$

$$X = 30 \quad (\text{Export expenditure})$$

$$T = 60 + 0.2Y \quad (\text{Tax Revenue function})$$

$$M = 20 + 0.5Y \quad (\text{Import function})$$

- a) Interpret the savings function. (3 Marks)
- b) Derive the consumption function. (2 Marks)
- c) Using a graph, show the relationship between consumption and savings functions. (3 Marks)
- d) Compute equilibrium levels of savings, income, consumption and tax. (5 Marks)
- e) Calculate and interpret the government expenditure multiplier. (4 Marks)
- f) Explain four determinants of savings in Kenya. (4 Marks)

QUESTION THREE (20 MARKS)

- a) Describe briefly what IS and LM curves are. Illustrate. (3 Marks)
- b) Using diagrams explain how the IS and LM curves are derived. (8 Marks)
- c) What are the main challenges Kenya faces in trying to solve the following macroeconomic instabilities:
 - i). Inflation. (3 Marks)
 - ii). Unemployment. (3 Marks)
 - iii). Balance of payment deficit. (3 Marks)

QUESTION FOUR (20 MARKS)

- a) Explain the following:
 - (i) Ways of measuring inflation. (5 Marks)
 - (ii) Causes of inflation. (5 Marks)
 - (iii) Effects of inflation. (5 Marks)
 - (iv) Ways of controlling inflation. (5 Marks)

QUESTION FIVE

(20 MARKS)

a)

- i. Define the term monetary policy. **(2 Marks)**
- ii. State and explain five objectives of monetary policy. **(5 Marks)**
- iii. Describe five tools of monetary policy. **(5 Marks)**

b)

- i. Discuss the term investment **(2 Marks)**
- ii. Outline the factors that influence the level of investment in an economy **(6 Marks)**
